



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

APRIL 2007 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

INSTRUCTIONS

- Three hours are allowed for this paper.
- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification anywhere on this question paper.
- **The answer booklet and this question paper must be handed in personally by you to the invigilator before you leave the examination. Failure to do this may result in your paper not being marked and you may be prevented from entering this examination in future.**

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper. You should answer all questions in Part I, the compulsory question in Part II and three out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	8 compulsory questions	48 marks
Part II	1 compulsory question	50 marks
Part III	3 questions selected from 5	102 marks

You are advised to spend no more than 45 minutes on Part I.

Where a question is split into parts (a), (b) etc, marks for each part are only shown if they are split unevenly between the parts and you should spend your time in accordance with the allocation.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show each step in any calculation, even if you have used a calculator.

You may find it helpful in some places to make rough notes in the answer booklet, if you do this, you should cross through these notes before you hand in the booklet.

PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. Briefly outline the nature and symptoms of Meniere's disease.
2. (a) What is work-related upper limb disorder? (2 marks)
(b) What functional limitations are associated with it? (4 marks)
3. Explain the key criteria that need to be met for the coroner to return a verdict of suicide.
4. How might an insurer deal with mis-statement of age in respect of life and health policies?
5. What factors should an assessor take into account when considering any other occupations that an income protection claimant is suited to?
6. What are the legal requirements for a valid contract? Briefly explain how they are modified in respect of a long-term insurance contract.
7. What criteria typically need to be satisfied for an individual to be accepted under the free cover provisions of a group income protection scheme?
8. (a) Define the term mortality. (1 mark)
(b) What factors contribute to an individual's mortality? (5 marks)

Question 9 can be found on pages 6 and 7

PART II

Compulsory question.
This question is worth 50 marks.

9. Mr Rhodes is a 53-year-old self-employed builder.

He has had an income protection policy with the Good Life Insurance Company since 1996, the basic details of which are as follows.

Benefit level:	£12,000 per annum.
Deferred period:	4 weeks.
Expiry age:	60
Definition of incapacity:	'Unable to perform any occupation whatsoever.'
Limitation of benefit clause:	65% of pre-incapacity earnings less any State Benefits to which entitled, other insurances and any continuing income.
Pre-incapacity earnings defined as:	Gross income earned in the 12 months prior to disability less all expenses which are allowable against Income Tax.

A claim form has been received notifying you of Mr Rhodes' inability to work since February of this year (2007); his latest accounts are also attached.

Claim form summary – Dated 20 March 2007	
Nature of incapacity:	Severe back injury with prolapsed inter-vertebral disc as a result of heavy lifting on 20 February 2007. I have been in excruciating pain since that date, operation on back performed last week with a view to minimising pain, but I have been advised by my specialist that I will never be able to undertake heavy manual work again.
Impact on business/earnings:	Have not carried out a day's work since the date of the injury, wife has continued to take calls and do administration work but any enquiries for work have been forwarded to another firm.
Plans for the future:	Hope to resurrect the business I have worked in all my life at some point in the future, but my role will be limited.
State Benefit entitlement:	Not yet applied for, but intend to do so.

Mr and Mrs Rhodes 'Bob's Builders'		
Profit and Loss Account – Year ended 31 December 2006		
	Year ended 31 December 2006	Year ended 31 December 2005
Turnover	£58,100	£85,100
Cost of sales	£22,000	£45,000
Gross profit	£36,100	£40,100
Expenditure		
Motor expenses	£5,000	£15,000
Advertising	£500	£250
Insurance	£450	£480
Administration	£600	£800
Accountancy services	£350	£450
Wages	£1,000	£10,000
Depreciation	£1,100	£1,100
Telephone	£200	£400
Net profit	£26,900	£11,620
Prepared but not audited by Lacey Jones Accountants, January 2007		

- (a) Explain how a prolapsed inter-vertebral disc arises and the typical symptoms that such a condition may cause. What treatment might be given to an individual with this condition? (10 marks)
- (b) Explain the issues that need to be taken into account when determining the correct level of benefit to pay Mr Rhodes. In addition set out the benefit calculation showing the benefit you would pay. (25 marks)
- (c) Assume that the claim was medically supported and admitted with effect from 20 March 2007. Mr Rhodes now contacts the Good Life Insurance Company to advise that he has taken on a builder to carry out the manual work, with his wife undertaking the administration work. Mr Rhodes states that he is still unable to partake in any business activity but that he is to see a specialist next month and after that time he hopes to return to work in a very limited capacity to help market the business and provide quotes for new contracts. He estimates this to be less than 5% of what his previous role entailed, only amounting to a couple of hours work each week.

How would this impact on your claims management plan and future actions? (15 marks)

PART III

**Answer THREE of the following FIVE questions.
Each question is worth 34 marks.**

10. (a) Define the requirements for a valid critical illness claim for heart attack under the latest Association of British Insurers definition. (10 marks)
- (b) Discuss the issues that may arise in determining whether the definition has been satisfied. (24 marks)
11. (a) Describe the various ways in which a life policy can be assigned (excluding trusts) and the impact these have on policy ownership. (11 marks)
- (b) For each, describe who is entitled to the policy proceeds, and the documentation necessary to effect settlement following a death claim for each type of assignment. (23 marks)
12. Discuss the various actions a claims assessor should take when faced with refusal by the claimant or other parties to provide information required during the assessment of a disability claim.
13. (a) Other than any type of group cover, what three types of income protection (IP) contract might an employer take out to cover a business need? (3 marks)
- (b) Explain the main features of these contracts, how they differ from a standard IP policy and what the typical financial evidence requirements to assess a claim are. (31 marks)
14. How has the latest Association of British Insurers definition of stroke been modified from the version in the 2002 Statement of Best Practice for Critical Illness Cover? State both definitions and explain the intended effect of this change.